

MATCH MADE IN HEAVEN

Billionaire Kumar Mangalam Birla-led ABFRL has bought 51 per cent stake in Sabyasachi. Experts believe that ABFRL and Mukherjee complement each other well

to allow his children to be what they want to be. I told him I wanted to partner with you because I think that you have a lot of wisdom. And for me, that's a great value."

The designer believes it is this wisdom that makes working with the group easy. "They're silently trying to build an ecosystem for me without interference, because they know that I do the job the best because I know the domain the best. And they let me lead naturally... When I work with them, I don't have to be mindfully conscious of the fact that they're a \$57-billion empire. They treat me as an equal partner."

Harminder Sahni, Founder & MD of consulting firm Wazir Advisors, says that the only way forward for brands like Sabyasachi is to either sell to a corporate or to corporatise. "For growth, you need the backing of a corporate house. Especially if you want to go global as it's an expensive foray and it is uncharted territory." As far as expansion into various categories is concerned, Sahni says there is no playbook. While some may expand into larger small-ticket categories to make the brand available to a larger demography, others may stick to their core.

"For any brand to scale globally, it needs to be relevant to consumer audiences that are outside its home market," says Devangshu Dutta, Chief Executive of consultancy Third Eyesight. For any brand whose products draw heavily from the roots in terms of silhouettes and embellishment techniques, adding products that fit with the ethos and needs of the targeted global markets becomes a must, he adds.

ABFRL and Mukherjee complement each other as the company brings its



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expertise in understanding consumers at a larger base while the designer is more aware of consumers at the top of the pyramid. "They have a very acute understanding of a consumer that is not mine today but will be mine tomorrow. And I have a very acute understanding of the consumer that they don't have yet but might get tomorrow." Mukherjee says he did not take private equity funding earlier because he was not ready. "I'm not here to make money. I'm here to create value. And there's a huge difference. Value creates money eventually. But money never creates value. With ABFRL, we are very clear about what we want to do." As for financials, in FY22, Sabyasachi Calcutta (what the company is called post the acquisition) posted a turnover of ₹229.42 crore, which rose to ₹343.86 crore in FY23, per ABFRL's annual report. But profit after tax fell from ₹27.72 crore in FY22 to ₹7.96 crore in FY23.

He feels luxury is becoming more abstract and it is about finding value. Moreover, consumers are buying less but better stuff. "People are flirting, but they're not consuming. It's like they are channel surfing. What is going to happen is that consumers are going to buy less, but they're going to buy better. And I'm preparing my brand for that."